

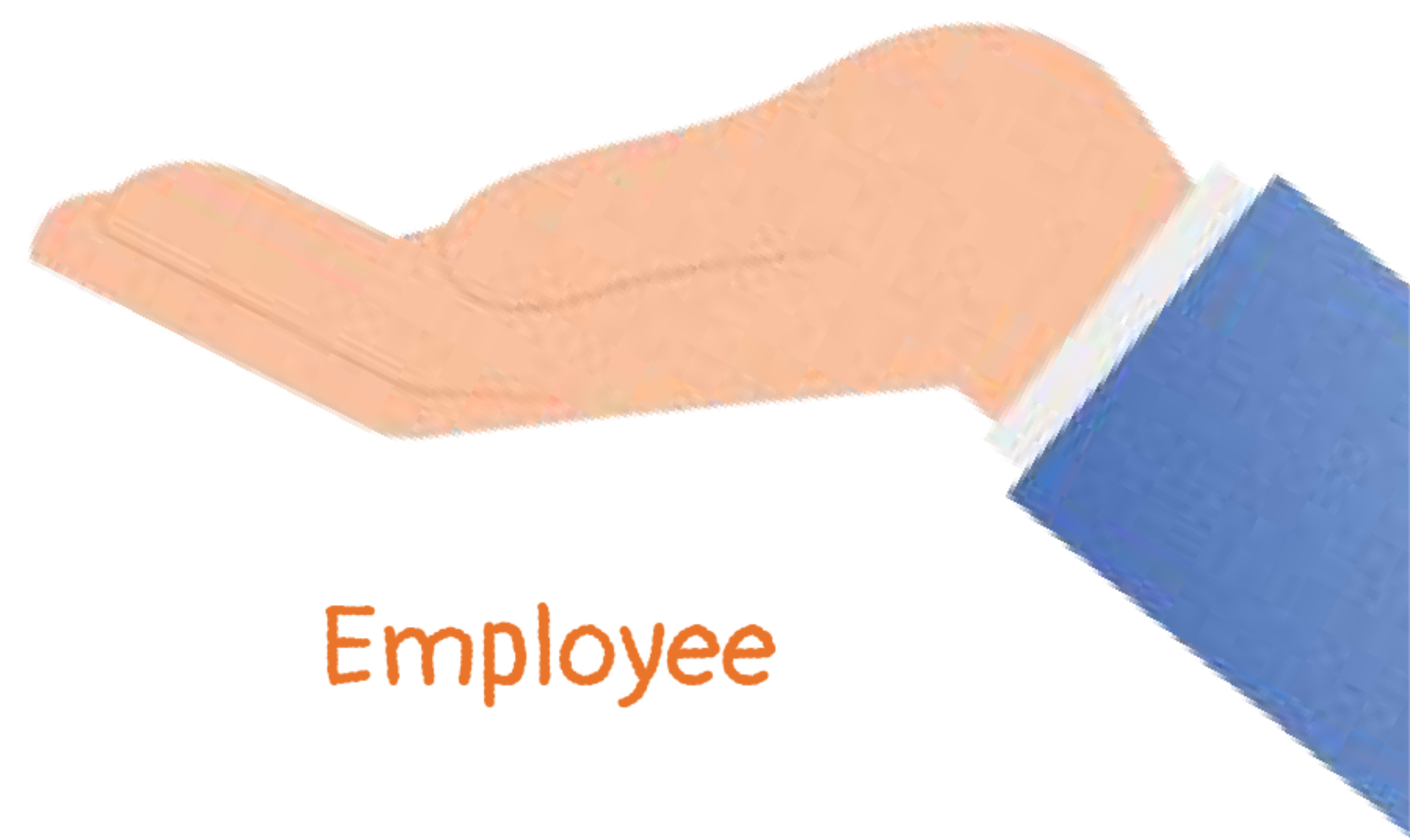
## 2. Gratuity

Gratuity is a gratitude of an employer towards an employee in the form of a lump sum amount. It is awarded to an employee if the employee leaves after completing 5 years of service or more.



Employer

There is a catch here. If an employee has worked for 190 days in a year, it is counted as one year. Hence anyone completing over 4.5 years in an organization becomes eligible for gratuity.



Employee



15 days of Salary



For each completed year

The employee gets 15 days of salary for each completed year on the last drawn basic salary. The formula for calculating gratuity is:

$$\text{Gratuity Amount} = \frac{(\text{Years of Service} \times \text{Last drawn basic} \times 15 \text{ days})}{26 \text{ days}}$$

**The contribution towards Gratuity is 4.81% of the Basic Salary.**

You may contribute the amount in three ways either by buying a LIC gratuity policy or by creating a gratuity fund or by just making a provision in the book of accounts.